

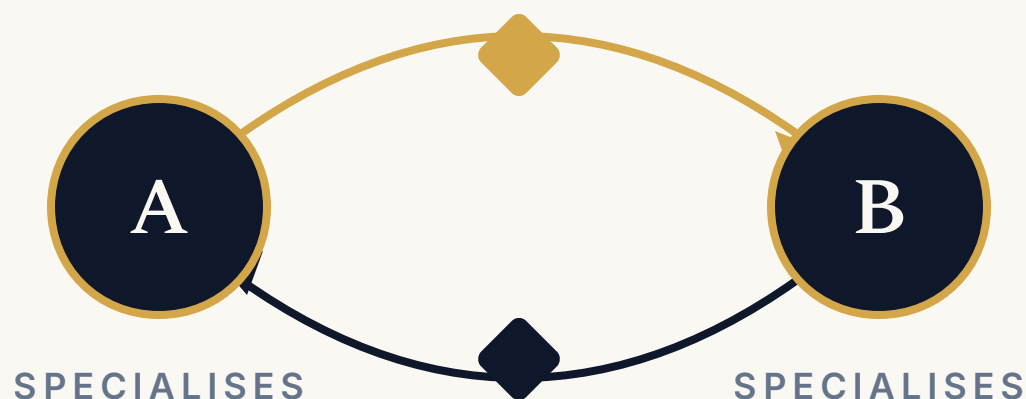


ECONOMICS IN 60 SECONDS

Issue #002

Comparative Advantage

One of the most important ideas in economics says you should sometimes let someone else do the very thing you are better at.



TIMELESS IDEAS. EVERYDAY IMPACT.

WHY IT SEEMS WRONG

A lawyer types faster than her assistant. Should she type her own letters?

The Lawyer

types faster



The Assistant

types slower



Most people say yes.

Economics says no.

THE CORE IDEA

It is not about who is better

In 1817, David Ricardo found the surprising rule. What decides who should do a task is not who does it better, but who gives up less to do it.

ABSOLUTE ADVANTAGE

Who can do the task better.

COMPARATIVE ADVANTAGE

Who gives up the least to do it.

David Ricardo, On the Principles of Political Economy, 1817.

OPPORTUNITY COST

Every choice has a hidden price

An hour the lawyer spends typing is an hour not spent winning cases. The true cost of a task is the value of what you give up to do it.

AN HOUR TYPING



modest value

the gap is the real cost of typing

AN HOUR OF LAW

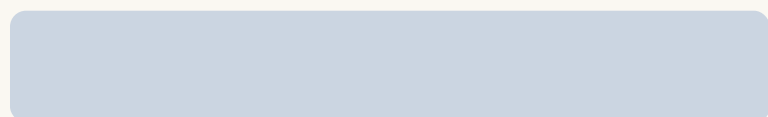


far greater value

BOTH SPECIALISE, BOTH GAIN

Same hours. More value.

EACH DOES A LITTLE OF EVERYTHING

*total value*

LAWYER LAWYERS · ASSISTANT TYPES

*more value*

When each person does only what they sacrifice least to do, the same hours produce more in total. Nobody worked harder. They simply focused.

THE SAME RULE, SCALED UP

Swap the lawyer for a country

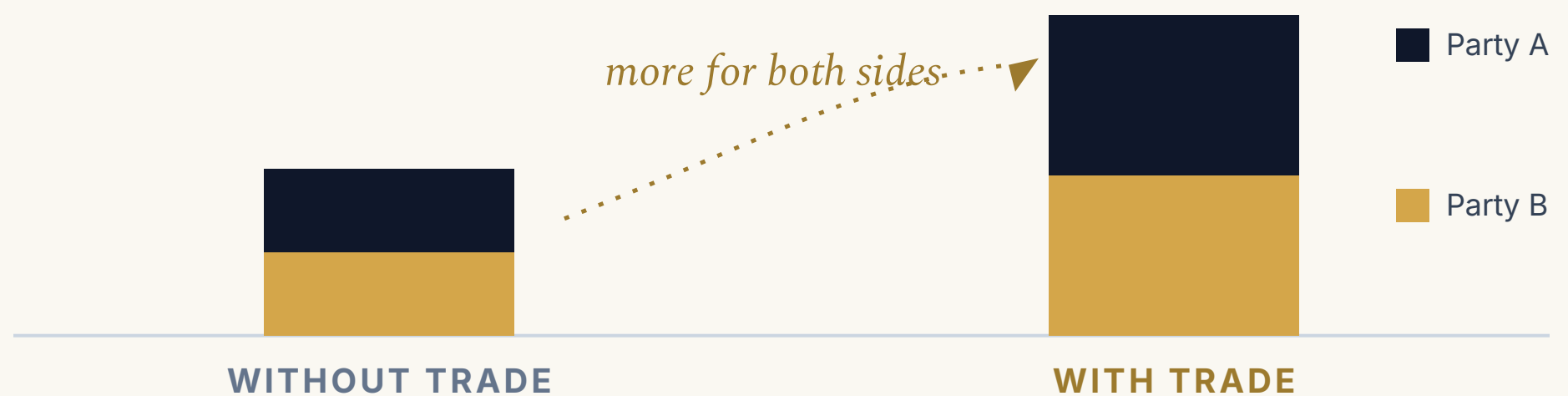
Even a nation that makes everything more cheaply still gains by focusing on what it sacrifices least, and trading for the rest.

Ricardo's own example: England and Portugal.



NOT A ZERO-SUM DEAL

Trade grows the pie, it does not just split it



Specialisation lifts total output, so both sides can end up with more than either could make alone.

IT IS REALLY ABOUT FOCUS

It was never only about trade



Business

Do only what only you can do.
Delegate the rest.



Careers

Your edge is relative, not absolute.



Teams

The strongest player should not
take every task.



Nations

Specialise first, then trade for the
rest.



What is one task you are good at, but that quietly costs you the work only you can do?

Share it below. The sharpest answer shapes a future issue.



ECONOMICS IN 60 SECONDS · #002

Comparative Advantage

ONE IDEA. BETTER DECISIONS.

Next issue, #003 · The Prisoner's Dilemma

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